Notice of Rulemaking Hearing
Tennessee State Board of Equalization

There will be a hearing before the Tennessee State Board of Equalization to consider the amendment of rules pursuant to Tenn. Code Ann. §§67-1-305. The hearing will be conducted in the manner prescribed by the Uniform Administrative Procedures Act, Tenn. Code Ann. §4-5-204 and will take place in the 17th floor conference room, James K. Polk State Office Bldg., 505 Deaderick Street, Nashville, Tennessee, at 10:30 a.m. on the 23d day of January, 2006.

Any individuals with disabilities who wish to participate in these proceedings should contact the Board to discuss any auxiliary aids or services needed to facilitate such participation. Such initial contact should be made no less than ten (10) days prior to the scheduled meeting date, to allow time for the Board to determine how it may reasonably provide such aid or service. Initial contact may be made with the Board's ADA Coordinator, Elaine Driver, at Ste. 1400, 505 Deaderick St., Nashville, TN 37243-0261 and tele. no. 615/401-7738.

For a copy of this notice of rulemaking hearing, contact: Kelsie Jones, Ste. 1700, 505 Deaderick St., Nashville, TN 37243-0280, and tele. no. 615/747-5379.

Substance of Proposed Amendment

Chapter 0600-5
Assessment of Commercial and Industrial Tangible Personal Property

Rule 0600-5-.01 Definitions is amended by deleting item (6), substituting the following new items:

(6) "Original cost" shall be defined as all costs incurred by the original owner to place the item in service, and any additional costs incurred by the original or subsequent owners and against which may be asserted a claim of depreciation.

(7) "Leased tangible personal property" shall mean tangible personal property leased or rented within the meaning of Tenn. Code Ann. Section 67-4-701 et seq., except that property a consumer of services must obtain from the service provider or an affiliate, shall be considered property of the service provider whether or not it is leased or rented.

Rule 0600-5-.01 Definitions is further amended by adding the following sentence at the end of item (14): "Tangible personal property includes computer software."

Rule 0600-5-.01 Definitions is further amended by appropriately renumbering the remaining items, so that the rule as amended reads as follows:

(8) "Personal property", as defined by T.C.A. §67-5-501(7), includes every species and character of property which is not classified as real property.

(9) "Raw material" shall be defined as items of tangible personal property, crude or processed, which are held or maintained by a manufacturer for use through refining, combining, or any other process in the production or fabrication of another item or product.

(10) "Regular assessment" shall be defined as an assessment made on personal property when the taxpayer has filed a personal property schedule with the assessor for the current year and the assessment is based on the information reported by the taxpayer.

(11) "Residual value" shall be defined as the minimum standard value of property in use or capable of use.

(12) "Scrap value" shall be defined as the value of personal property no longer capable of use and for which there is no expectation of repair.

(13) "Straight line depreciation" for tangible personal property shall be defined as depreciation allocated in equal percentages over the economic life of the property and shall be calculated by dividing 100% by the economic life to achieve a yearly depreciation percentage. Percent good factors, also termed depreciation factors, derived from these yearly depreciation percentages shall be rounded to the nearest whole percent.

(14) "Supplies" shall be defined as expendable items of tangible personal property which are used or held for use in support of a business activity, including but not limited to office supply stocks, stocks of spare parts for maintenance of machinery and equipment, accessories used in manufacturing processes, printing supplies, and cleaning and maintenance supplies.

(15) "Tangible personal property", as defined by T.C.A. §67-5-501(12), includes personal property such as goods, chattels, and other articles of value which are capable of manual or physical possession, and certain machinery and equipment, separate and apart from any real property, and whose value is intrinsic to the article itself. Tangible personal property includes computer software.

Rule 0600-5-.05 Audit is amended by adding the following new subsections:

(3) Audits shall be conducted in accordance with a plan submitted by the assessor of property and approved by the State Board of Equalization.

(4) Assessors shall maintain confidentiality of taxpayer information as required by Tenn. Code Ann. Section 67-5-402, and disclose this information only pursuant to a written request identifying a basis for disclosure consistent with Section 67-5-402.

Rule 0600-5-.06 Standard Valuation is amended by adding the following sentence at the end of subsection (5): "The assessor shall not fix or increase a forced assessment by use of an arbitrary percentage."

Rule 0600-5-.07 Nonstandard Valuation is amended by adding the following at the end of subsection (1):

> The current owner of used tangible personal property may claim cost to the current owner as the cost to be depreciated under the standard useful lives otherwise provided by law, and the current owner's year of acquisition will be the vintage year for purposes of depreciation. In such cases the current owner must provide proof that the price or allocated price claimed as the current owner's cost, reasonably approximates the current value of the used tangible personal property.

so that item (1) as amended reads as follows

> (1) Notwithstanding the provisions of Rule 0600-5-.06, above, regarding standard valuation, the assessor shall place a value on the property different from the value indicated by the standard valuation provisions if there is sufficient evidence to warrant a different value and documentation of such evidence is included in the file. The assessor shall consider the level of trade at which the property is found and all other relevant and available evidence in determining a nonstandard value. The current owner of used tangible personal property may claim cost to the current owner as the cost to be depreciated under the standard useful lives otherwise provided by law, and the current owner's year of acquisition will be the vintage year for purposes of depreciation. In such cases the current owner must provide proof that the price or allocated price claimed as the current owner's cost, reasonably approximates the current value of the used tangible personal property.

Rule 0600-5-.09 Miscellaneous is amended by changing the title to "Classification and situs" and by substituting the following for the first sentence of subsection (1) (c):

> The intent of the owner and, where appropriate, the intent of other parties to a transaction involving the owner. Intent shall be determined objectively, considering business custom and usage as well as the stated intent of the owner or parties.

so that the subsection as amended reads as follows:

(c) The intent of the owner and, where appropriate, the intent of other parties to a transaction involving the owner. Intent shall be determined objectively, considering business custom and usage as well as the stated intent of the owner or parties. This element will come into focus most frequently where leased premises are involved, although it must occasionally be considered where premises are owner-occupied. If the intent of the owner is to move the item upon relocation of the business, the item is more likely to be considered personal property, provided that such a move would be probable, practical, and cost-effective.

Rule 0600-5-.09 is further amended by adding the following new item:

(d) The following property shall be presumed to be tangible personal property in the absence of proof to the contrary: i) above ground tanks less than five hundred thousand (500,000) gallon capacity; and ii) billboards not embedded in the ground with concrete and steel.

Authority: Tenn. Code Ann. §67-1-305.

I certify that this is an accurate and complete representation of the intent and scope of rulemaking proposed by the State Board of Equalization.

_____
Kelsie E. Jones, Executive Secretary
State Board of Equalization

Subscribed and sworn to before me this the _____day of _____, 20 _____.

_____
Notary Public

My commission expires: _____

The notice of rulemaking set out herein was properly filed in the Department of State on the _____ day of _____, 20 _____.

_____
Riley C. Darnell
Secretary of State

By: _____

X COUNTY , TENNESSEE TAX YEAR 2005

TANGIBLE PERSONAL PROPERTY SCHEDULE (DUE MARCH 1)

FOR REPORTING
COMMERCIAL AND INDUSTRIAL PERSONAL PROPERTY

IN ACCORDANCE WITH T.C.A. 67-5-903, THIS SCHEDULE MUST BE COMPLETED, SIGNED ON THE REVERSE SIDE, AND FILED WITH THE ASSESSOR OF PROPERTY BY MARCH 1. FAILURE TO DO SO WILL RESULT IN A FORCED ASSESSMENT, AND YOU WILL BE SUBJECT TO A PENALTY AS PROVIDED BY STATE LAW.

PROP TYPE | DIST | MAP NO. | GRP | CTL MAP | PARCEL | P/I | S/I | CITY | WARD

BUS. NAME

ADDRESS
CITY, ST, ZIP

ASSESSOR'S USE ONLY

TOTAL THIS SIDE
TOTAL REVERSE SIDE
TOTAL ATTACHMENTS
TOTAL APPRAISED VALUE
ASSESSMENT RATIO × .30
ASSESSMENT
ASMNT TYPE: PARCEL STATUS:
SCHEDULE FURNISHED / /
SCHEDULE RETURNED / /
DESK AUDITED: BY DATE / /
FIELD AUDITED: BY DATE / /
BUSINESS CODE:
UNITS TYPE: NUMBER:
APPRAISED $ PER UNIT

APPR YEAR
CARD NUM
NUM OF CARDS
PROP TYPE
WARD
CITY
SSD1
SSD2
AREA CODE

PART I. GENERAL DATA (MAKE CHANGES AS NEEDED)

PROPERTY ADDRESS
OWNER OF REAL ESTATE
TYPE OF BUSINESS
BUSINESS OWNER(S)
BUSINESS PHONE ( )
CONTACT PERSON
BUSINESS LOCATED: (please check one) OUTSIDE CITY LIMITS ☐ INSIDE CITY LIMITS ☐ (indicate city below)
CITY
STATE SALES TAX NO.
IRS IDENTIFICATION NO.
BUSINESS LICENSE NO.

IF YOU WERE OUT OF BUSINESS IN THIS COUNTY ON JANUARY 1, PLEASE NOTIFY THE ASSESSOR OF PROPERTY OF THE DATE OUT OF BUSINESS IN ORDER TO AVOID A FORCED ASSESSMENT.

PART II. OWNED PERSONAL PROPERTY

Report all personal property owned by you and used or held for use in your business or profession as of January 1, including items fully depreciated on your accounting records. Do not report inventories of merchandise held for sale or exchange or finished goods in the hands of the manufacturer.

Personal property leased or rented and used in your business must be reported in PART III of this schedule and not in this section. Property on which you wish to report a nonstandard value must be reported in PART IV of this schedule and not in this section.

A separate schedule should be filed for each business location.

List the total original cost to you for each group below by year acquired in the REVISED COST column. If COST ON FILE is printed on the schedule, you need only report new cost totals resulting from acquisition or disposition of property in the REVISED COST column.

ALTERNATIVE REPORTING FOR SMALL ACCOUNTS - If you believe the depreciated value of your property is $1,000 or less you may use the small accounts certification (reverse side) as an alternative to reporting detail costs below. With this certification, subject to audit, your assessment per this schedule will be set at $300.

GROUP 1 — FURNITURE, FIXTURES, GENERAL EQUIPMENT, AND ALL OTHER PROPERTY NOT LISTED IN ANOTHER GROUP

YEAR	COST ON FILE	REVISED COST	DEPR
2004	0		.88
2003	0		.75
2002	0		.63
2001	0		.50
2000	0		.38
1999	0		.25
PRIOR	0		.20
TOTAL			

GROUP 2 — COMPUTERS, COPIERS, PERIPHERALS, FAX MACHINES, AND TOOLS

YEAR	COST ON FILE	REVISED COST	DEPR
2004	0		.67
2003	0		.33
PRIOR	0		.20
TOTAL			

GROUP 3 — MOLDS, DIES, AND JIGS

YEAR	COST ON FILE	REVISED COST	DEPR
2004	0		.75
2003	0		.50
2002	0		.25
PRIOR	0		.20
TOTAL			

GROUP 4 — AIRCRAFT, TOWERS, AND BOATS

YEAR	COST ON FILE	REVISED COST	DEPR
2004	0		.92
2003	0		.85
2002	0		.77
2001	0		.69
2000	0		.62
1999	0		.54
1998	0		.46
1997	0		.38
1996	0		.31
1995	0		.23
PRIOR	0		.20
TOTAL			

GROUP 5 — MANUFACTURING MACHINERY

YEAR	COST ON FILE	REVISED COST	DEPR
2004	0		.88
2003	0		.75
2002	0		.63
2001	0		.50
2000	0		.38
1999	0		.25
PRIOR	0		.20
TOTAL			

GROUP 6 — BILLBOARDS, TANKS, AND PIPELINES

YEAR	COST ON FILE	REVISED COST	DEPR
2004	0		.94
2003	0		.88
2002	0		.81
2001	0		.75
2000	0		.69
1999	0		.63
1998	0		.56
1997	0		.50
1996	0		.44
1995	0		.38
1994	0		.31
1993	0		.25
PRIOR	0		.20
TOTAL			

GROUP 7 — SCRAP PROPERTY

YEAR	COST ON FILE	REVISED COST	DEPR
ALL	0		.02

GROUP 8 — RAW MATERIALS AND SUPPLIES

	COST ON FILE	REVISED COST
ORIGINAL COST	0	

GROUP 9 — VEHICLES

YEAR	COST ON FILE	REVISED COST	DEPR
2004	0		.80
2003	0		.60
2002	0		.40
PRIOR	0		.20
TOTAL			

GROUP 10 — CONSTRUCTION IN PROCESS

YEAR	COST ON FILE	REVISED COST	DEPR
ALL	0		.15

RETURN THIS SCHEDULE AND ANY ACCOMPANYING DATA TO:

ASSESSOR OF PROPERTY

APPRAISAL LAST YEAR
ASSESSMENT LAST YEAR

SIGN THIS SCHEDULE ON THE REVERSE SIDE

CT-0025-9557
REV. 1998

PART III. LEASED PERSONAL PROPERTY REPORT ALL ITEMS LEASED OR RENTED BY YOU FOR THE CONDUCT OF YOUR BUSINESS AS OF JANUARY 1. REGARDLESS OF ANY CONTRACT BETWEEN THE LESSOR AND LESSEE AS TO WHO SHALL PAY THE TAXES, LEASED PERSONAL PROPERTY IS TO BE ASSESSED TO THE LESSEE.

GRP	ITEM DESCRIPTION, MAKE AND MODEL NUMBER	* YEAR MADE	** COST NEW	TERM OF LEASE AND YEAR LEASE BEGAN	MONTHLY RENT	NAME OF LESSOR	ADDRESS OF LESSOR	ASSESSOR'S USE ONLY

* -Report year of acquisition if lessor purchased the property being used
** -Report advertised retail price if cost new is unknown.

IF ADDITIONAL SPACE IS NEEDED, ATTACH A SEPARATE SHEET USING THE SAME FORMAT

PART IV. OWNED ITEMS WITH NONSTANDARD VALUE REPORT PROPERTY ON WHICH YOU WISH TO REPORT A VALUE DIFFERENT FROM STANDARD DEPRECATED COST WHERE SUCH VALUE MORE CLOSELY APPROXIMATES FAIR MARKET VALUE. THE ASSESSOR MAY REQUEST SUPPORTIVE INFORMATION BEFORE ACCEPTING SUCH VALUE.

GRP	ITEM DESCRIPTION	YEAR MADE	ORIGINAL COST	DEPR FACTOR	VALUE AS OF JANUARY 1	ASSESSORS USE ONLY DEPR	VALUE
IF ADDITIONAL SPACE IS NEEDED, ATTACH A SEPARATE SHEET USING THE SAME FORMAT				TOTAL			

NOTES:

[ ] SMALL ACCOUNTS CERTIFICATION (OPTIONAL) - By checking the box at left, I certify that the total depreciated value of my property (all groups) is $1,000 or less. I understand this certification is subject to penalties for perjury and I may be subject to statutory penalty and cost if this certification is proven false.

I certify that the information contained herein, including any accompanying schedules or data, is true, correct, and complete, to the best of my knowledge and belief.

PRINT NAME _____ PRINT TITLE _____

SIGNED _____ TITLE _____ DATE _____